

INTUIT INC.

The compliance and money rail under 100 million US financial relationships

INTU : NASDAQ | Application Software / Fintech | 30 July 2026

1 EXECUTIVE SUMMARY

Market cap: US\$83-91bn (US\$91bn at the 29 Jul close of \$333.13; aggregators dated 17-27 Jul show \$83-84bn)	Share price: US\$333.13 (29 Jul 2026). 52-wk range \$252.84-813.70
Revenue: US\$20.91bn TTM to 30 Apr 2026, +15.0%. FY25 US\$18.83bn, +15.6%	Gross / operating margin: 80.8% / 27.5% GAAP TTM. Non-GAAP op. margin ~41% on FY26 guide
FY26 guidance (raised 20 May): Revenue US\$21.341-21.374bn, +13-14%; non-GAAP dil. EPS US\$23.80-23.85	Q4 FY26 guidance: Revenue +11-12%; GAAP dil. EPS US\$0.73-0.79; non-GAAP US\$3.56-3.62
Share count: 273.5m outstanding; ~277m diluted. US\$8bn buyback authorised May 2026	Balance sheet (30 Apr): Cash and investments US\$6.78bn vs total debt US\$6.82bn — net debt US\$0.04bn
Dividend: US\$4.80 annualised (1.44% yield), +15% y/y for a sixth consecutive year	HQ / fiscal year: Mountain View, California, USA. FY ends 31 July

Where Intuit sits in the chain. Intuit is not a participant in a supply chain in the industrial sense; it is the chain for a large share of US small-business and consumer financial compliance. It owns the general ledger of record for several million US small businesses through QuickBooks, the largest do-it-yourself (DIY) consumer tax filing franchise through TurboTax, the professional preparer toolchain through ProTax, the consumer credit marketplace through Credit Karma, and increasingly the payment, payroll and lending rails that move money out of those ledgers. Everything upstream of Intuit is a commodity input (cloud compute, frontier language models, card networks, bureau data). Everything downstream is a regulated filing or a settled payment. Intuit's economic position is that it sits at the single point where an unstructured mess of receipts, payroll runs and 1099s becomes a legally binding, penalty-bearing document.

Core thesis. The market has re-rated Intuit from a compounder multiple to a value multiple — forward price/earnings (P/E) has compressed from roughly 35x in July 2025 to about 11.7x today, a two-thirds de-rating, while revenue grew 15% and GAAP operating margin expanded from 26.1% to 27.5% over the same window. The bear narrative is that generative artificial intelligence (AI) collapses the willingness to pay for guided-workflow software; the May 2026 print handed that narrative its first hard datapoint when management conceded it "lost on price" among the most price-sensitive DIY filers and cut the TurboTax revenue guide. The investable question is narrow and answerable: the DIY low end was lost to free human-priced competitors (FreeTaxUSA at US\$0 federal, Cash App Taxes at US\$0 federal and state), not to AI, while the parts of the business where AI raises rather than lowers the price of the work — assisted tax, mid-market enterprise resource planning (ERP), payroll and payments — grew 19-38%. If that split holds through the 20 August print and the first fiscal 2027 guide, the current multiple is pricing a structural break that the segment data does not yet show.

What is genuinely broken. Three things, and none of them is the AI narrative. First, credibility: guidance was raised in aggregate while the highest-quality line (TurboTax) was cut and the most cyclical line (Credit Karma, a lending marketplace) was raised from +10-13% to ~+19% — the beat came from lower-quality revenue, and a securities class action now alleges the pricing commentary before and during the season was misleading. Second, Mailchimp: the US\$12bn 2021 acquisition is still a drag, subtracting roughly 200 basis points from reported Global Business Solutions growth, with management guiding a return to double-digit growth only beyond fiscal 2026. Third, the 17% workforce reduction (approximately 3,000 roles, US\$300-340m of charges) is a margin tailwind and simultaneously an admission that the human half of the "AI plus human expertise" model is being substituted by inference ahead of proof that customers accept the substitution.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What Intuit's product actually is

Imagine a spreadsheet with several thousand cells. The value of each cell is fixed by a rule written by a government, the rules change every year, some cells feed twenty others, and if any single cell is wrong you personally owe a penalty. Now imagine the raw numbers you need are scattered across a shoebox of paper, six bank accounts and an employer's payroll system. Intuit's product is three things stacked together: the machine-readable encoding of the rulebook, the plumbing that sucks the raw numbers in automatically, and the certified pipe that files the finished document with the authority and moves the money. The friendly question-and-answer interview on the screen is the marketing; the rulebook, the plumbing and the certified pipe are the asset.

Layer 1 — the deterministic calculation engine. A US tax return is a directed acyclic graph: forms and worksheets whose outputs feed other forms in a fixed dependency order, spanning the federal code, fifty state codes and a long tail of municipal filings, each re-legislated annually. Intuit maintains that graph as executable logic and re-certifies it every season against the Internal Revenue Service (IRS) Modernized e-File (MeF) schema, which validates submissions structurally before acceptance. The arithmetic is strictly deterministic and must be — a filed return is a signed legal instrument, Intuit underwrites accuracy guarantees against it, and a probabilistic output is therefore not admissible at the arithmetic layer. This is the single most misunderstood point in the AI-disruption debate: a large language model (LLM) cannot be the calculation engine, because "usually correct" is not a permitted state for a document that carries statutory penalties. The same logic applies to double-entry bookkeeping in QuickBooks, where the debit-equals-credit invariant and the audit trail are the product.

Layer 2 — the ingest and data layer. The scarce input is not intelligence, it is structured, reconciled, permissioned financial data. Intuit's ingest stack combines optical character recognition and document AI (W-2 photo capture, brokerage 1099 imports), direct payroll-provider and financial-institution connections, bank transaction feeds that drive automatic categorisation and reconciliation in QuickBooks, and credit-bureau files behind Credit Karma. Across roughly 100 million customers this produces a cross-domain graph — the same entity appears as a consumer credit file, a small-business cash-flow series, a payroll record and a tax return. No competitor and no frontier-model vendor has that joined-up view, and it cannot be scraped or synthesised.

Layer 3 — GenOS, the generative AI stack. Intuit runs a proprietary Generative AI Operating System (GenOS) rather than a single-vendor integration. Its components: **GenStudio**, a model catalogue and sandbox spanning Anthropic Claude via Amazon Web Services (AWS) Bedrock, Google Gemini, Meta Llama, Mistral, Amazon Nova via Bedrock and OpenAI GPT models via Microsoft Azure, alongside Intuit's own models; **GenRuntime**, which contains **GenOrchestrator** (planner, executor, memory and knowledge retrieval) and grounds general-purpose models in Intuit's domain data; **GenUX**, a shared interface component library; an **Agent Starter Kit**; and an automated **Evaluation Service**. The commercially important piece is the set of custom-trained Financial Intuit LLMs fine-tuned on financial datasets: Intuit reports roughly 5% better accuracy and 50% lower latency than certain general-purpose off-the-shelf models on some accounting workflows, at lower cost. That matters more for the income statement than for the product — inference is a new variable cost of goods sold line that did not exist in the seat-licence era, and routing routine steps to a small domain model rather than a frontier model is what keeps it from eating gross margin.

Layer 4 — money movement. The monetisation that rides on the ledger: card and automated clearing house payment acceptance, payroll processing with tax remittance, bill pay, instant deposit, small-business lending and capital, business checking, and from 22 July 2026 an Intuit Business Credit Card issued as a World Elite Business Mastercard that reconciles natively into QuickBooks. Each of these converts a software

subscriber into a take-rate relationship. Online Services revenue — the money and payroll bundle — was US\$4.70bn on a trailing twelve-month basis, marginally larger than QuickBooks Online Accounting itself at US\$4.84bn. Intuit is already roughly half a payments company by revenue, which the software-multiple framing obscures.

Layer 5 — infrastructure. Services run on a Kubernetes-based internal platform (Argo, Istio, Envoy) on AWS, marketed internally as Modern SaaS AIR. Capital intensity is trivial: trailing capital expenditure was US\$133m on US\$20.9bn of revenue, 0.6%. The compute bill sits in cost of revenue and operating expense, not in capex, which is why free cash flow conversion (37.1% of revenue) is so high and why an AI cost shock would show up in gross margin rather than in the balance sheet.

Product portfolio

Product line	What it is / key metrics	Competes against
QuickBooks Online (Simple Start to Advanced)	Cloud double-entry general ledger for small business; tiered by users, entities and reporting depth. TTM revenue US\$4.84bn, +17%; QBO Accounting revenue +22% in Q3 FY26 on higher effective price, customer growth and mix	Xero, Sage Accounting, FreshBooks, Zoho Books, Wave
Intuit Enterprise Suite (IES)	AI-native ERP for mid-market: 200-plus entities, multi-dimensional reporting, multi-entity close automation, construction vertical, embedded human capital management. 90% of customers migrate in under 30 days. QBO Advanced plus IES revenue +38% y/y in Q3 FY26	Sage Intacct, Oracle NetSuite, Microsoft Dynamics 365 Business Central, Workday
QuickBooks Online Services (money and payroll)	Payments acceptance, payroll with tax filing, bill pay, capital/lending, time tracking, business checking. TTM revenue US\$4.70bn, +12%; +17% in Q1 FY26 driven by money and payroll	Block/Square, Stripe, ADP, Paychex, Gusto, Rippling, BILL, Ramp, Brex
QuickBooks Workforce	Integrated human capital management: payroll, workforce operations and employee self-service in one surface (launched FY26)	Gusto, Rippling, ADP Run, Paychex Flex
QuickBooks Desktop and desktop services	Legacy on-premise ledger plus attached services and supplies. TTM US\$1.78bn and US\$1.14bn respectively; low single-digit growth — a cash annuity in managed decline	Sage 50, on-premise incumbents, migration to QBO
Mailchimp	Marketing automation and customer relationship management, acquired 2021 for approximately US\$12bn. The portfolio's problem child: excluding it, Q3 FY26 Global Business Solutions grew 17% versus 15% reported. Double-digit growth guided only beyond FY26	Klaviyo, HubSpot, Brevo, Constant Contact
TurboTax and TurboTax Live	Consumer DIY tax preparation plus assisted/full-service tiers. FY26 revenue guided US\$5.277-5.282bn (cut from US\$5.305-5.330bn); online paying units guided +2%	H&R Block, FreeTaxUSA, Cash App Taxes, TaxAct, TaxSlayer, Jackson Hewitt
Credit Karma	Consumer credit-monitoring and lending/insurance marketplace, acquired 2020 for approximately US\$7.1bn. Q3 FY26 revenue US\$631m, +15% (decelerating from +27% in Q1 FY26); FY26 guided ~+19%	NerdWallet, LendingTree, Bankrate, bank direct channels
ProTax (Lacerte, ProSeries, ProConnect) and Intuit Accountant Suite	Professional preparer toolchain and AI-native accountant workflow. Q3 FY26 revenue US\$278m, flat y/y; FY26 guided ~+4%	Thomson Reuters UltraTax CS, Wolters Kluwer CCH Axcess, Drake Software
Intuit Intelligence / Intuit Assist / virtual team of AI agents	Cross-platform agent layer: done-for-you bookkeeping, invoice chasing, close automation, expert handoff. Built on GenOS; not separately priced	Sage Copilot, Xero's Just Ask Xero, horizontal LLM assistants

Why the agentic cycle structurally changes the demand profile

The prior technology cycle sold *capability* priced per seat. This cycle sells *work performed*, and it re-prices Intuit's two ends in opposite directions. The reason the stock is down 60% while revenue compounds mid-teens is that the market has extrapolated the low end and ignored the high end.

The deflationary end, quantified. In fiscal 2026 TurboTax revenue is guided to grow approximately 7% on online paying units growing approximately 2% — meaning around five percentage points, or roughly 70% of the growth, came from price and mix rather than customers, against an industry backdrop where total IRS filings fell by about 30 basis points (roughly two million returns), the sharpest industry contraction since the post-COVID season. That is the most fragile possible configuration: an average-revenue-per-return engine running into a competitor set that has set the marginal price of a complete federal return at US\$0. FreeTaxUSA supports itemised deductions, investment income and self-employment schedules for nothing (US\$15.99 per state) and Cash App Taxes is free on both federal and state. The cruel detail is that IRS Direct File — the government product Intuit lobbied against for years — was cancelled for the 2026 season on 3 November 2025, and Intuit *still* lost the low end. The share did not go to a state actor or to an AI agent; it went to cheaper humans-plus-software. Prior generation, for contrast: fiscal 2025 Consumer Group revenue grew 10% with the assisted mix-shift intact and no conceded price loss.

The inflationary end, quantified. Where the work is complex enough that automation raises rather than lowers the price a customer will pay, the same cycle is a large average-selling-price (ASP) escalator. Moving a filer out of the DIY lineup (broadly US\$60-130 of list price) into TurboTax Live full service is a three-to-five-fold step-up on the same customer, which is exactly what management means by "disrupting the assisted tax segment" — a segment historically served by preparers at professional rates. The business analogue is sharper: QuickBooks Online Advanced plus Intuit Enterprise Suite grew 38% year on year in Q3 FY26 against 10% for the total company, and mid-market as a whole is growing "north of 30 percent" per management. IES carries a revenue per customer that is a large multiple of Simple Start, because it replaces an ERP implementation rather than a bookkeeping subscription. In money, Online Services grew 12-17% through FY26 on take rate against payment and payroll volume rather than on seats at all.

The intensity shift on Intuit's own cost base. Two observable numbers settle whether inference is eating the model. Gross margin has *risen* through the AI build-out: 79.6% in FY24, 80.4% in FY25, 80.8% trailing — consistent with the claim that domain-specific models (50% lower latency, cheaper per call) are absorbing routine volume that would otherwise hit frontier-model pricing. And the 17% headcount reduction plus the closure of the Reno and Woodland Hills sites is the labour side of the same substitution: if agents genuinely perform the work, the seasonal expert and support base that made "AI plus human intelligence" possible shrinks. Management is monetising that as margin (non-GAAP operating margin guided to approximately 41% for FY26 against 40% in FY25) rather than reinvesting it in price at the low end. That is a defensible choice and also precisely the choice that lost the DIY season.

3 SUPPLY CHAIN MAPPING

ELI5 — A software company's bill of materials

A chipmaker's supply chain is wafers, gases and lithography tools. Intuit's is four things: rented computers, rented intelligence, permissioned data pipes, and money rails. Three of the four are supplied by a small number of very large counterparties, and one of them — the frontier AI labs — is simultaneously Intuit's supplier, its distribution channel, and the entity the market fears will replace it. That triple role is the single most important structural feature of Intuit's upstream position.

Input	Supplier(s)	Single-source ?	Risk note
Cloud compute, storage, hosting	AWS (primary), Microsoft Azure (secondary, principally as the route to OpenAI models)	Effectively yes	Deep, long-standing AWS dependency across the Kubernetes platform and Bedrock model access. Re-platforming is not realistically executable, so commercial terms are negotiated rather than contested. Compute is an operating cost, not capex, so any repricing lands in gross margin within a quarter

Input	Supplier(s)	Single-source ?	Risk note
Frontier LLM inference	Anthropic (Claude, via AWS Bedrock and a direct multi-year partnership from 24 Feb 2026), OpenAI (multi-year deal announced Nov 2025, reported at over US\$100m per year), Google (Gemini), Meta (Llama), Mistral, Amazon (Nova)	No — deliberately multi-sourced through GenStudio	The strongest deliberate mitigation in the stack: models are swappable in days. But note that Anthropic signed a comparable partnership with Xero roughly six weeks later, so frontier reasoning is a commodity input available to every competitor. The AI partnership is table stakes, not a moat
Proprietary domain models	In-house custom-trained Financial Intuit LLMs	Yes (own IP)	The real cost-control asset: approximately 5% higher accuracy and 50% lower latency than certain general-purpose models on some accounting workflows. Depends on retaining AI and data staff through a 17% reduction in force
Tax rules, e-file certification and filing rails	IRS Modernized e-File, 50 state revenue departments, plus HMRC (UK), ATO (Australia) and CRA (Canada) internationally	Yes, by definition	Monopoly suppliers that Intuit must re-certify against annually. Policy risk is two-way: the cancellation of IRS Direct File for the 2026 season removed a state-run competitor, and a future administration could reinstate it. Intuit and H&R Block both exited the IRS Free File Alliance, which raises political exposure
Consumer and business financial data	Direct bank and payroll connections, third-party aggregators, and the credit bureaus (Equifax, Experian, TransUnion) behind Credit Karma	Bureau data is a three-supplier oligopoly	Bureau pricing sets a floor under Credit Karma's cost of revenue. Open-banking rulemaking on consumer data access rights cuts both ways — cheaper permissioned access, but also easier for competitors to replicate the ingest layer
Payment and card rails	Visa and Mastercard networks, sponsor banks, banking-as-a-service partners; Mastercard specifically for the July 2026 Intuit Business Credit Card	Network duopoly	Interchange economics and sponsor-bank terms cap the payments take rate. Any interchange regulation compresses the fastest-growing part of Online Services
Lending and refund-advance capital	Balance sheet plus third-party capital partners. The TurboTax early-refund facility was terminated effective 26 Feb 2026	No	Terminating the refund-advance facility removes a funding dependency but also removes a customer acquisition hook at exactly the price-sensitive end of DIY that was lost in the 2026 season
Seasonal human expert capacity	Contract and seasonal tax professionals, bookkeepers and support staff	No — open labour market	The assisted-tax growth engine requires expert supply that scales into February-April. The 17% reduction and the Reno and Woodland Hills closures will be stress-tested for the first time in the FY27 season

Geographic exposure. The concentration risk here is the opposite of the usual semiconductor case. Intuit has almost no geopolitical supply exposure — no fabs, no rare earths, no export controls — but it has severe *demand-side* geographic concentration. The overwhelming majority of revenue is United States, which means one tax authority, one filing calendar, one consumer credit cycle and one regulator. International online revenue grew 9% on a constant-currency basis in Q1 FY26 — respectable, immaterial. There is no diversifying leg to absorb a bad US season, which is precisely what the May 2026 print demonstrated: a 30 basis point contraction in total IRS filings translated directly into a guidance cut and a 20% single-day de-rating.

Input cost sensitivity. The variable that matters is inference cost per served customer, and it is not disclosed. The observable proxies are reassuring so far — gross margin up 120 basis points over two years to 80.8% while agentic features shipped across the whole platform, and capital expenditure at 0.6% of revenue. The mechanism protecting the margin is model routing: cheap in-house domain models for the high-volume routine steps, frontier models only where reasoning depth justifies the token cost. The risk case is that agentic workflows are structurally more token-hungry than the single-turn prompting they replace — a done-for-you monthly close is orders of magnitude more inference than answering a question — so the

cost curve could inflect without warning. Watch cost of revenue as a percentage of revenue, not headline operating margin, because the 17% reduction in force will flatter the latter for four quarters and mask the former.

4 COMPETITIVE LANDSCAPE

Company	HQ	Revenue	Position / share	Key differentiator	Weakness vs. Intuit
Intuit (INTU) — subject	Mountain View, US	US\$20.9bn TTM	Leader in US SMB cloud accounting and consumer DIY tax; ~100m customers	Ledger, tax, payroll, payments and consumer credit joined in one data graph; e-file certification across 50-plus jurisdictions	n/a — but note ~90%-plus US revenue and extreme Q3 seasonality
H&R Block (HRB)	Kansas City, US	~US\$3.8bn TTM (18% of INTU)	Number two US consumer tax; roughly 12,000 retail offices	Physical assisted footprint and a genuinely free tier that competes at the low end Intuit just lost	Under a fifth of Intuit's revenue, no SMB ledger of scale, and its own de-rating (market cap ~US\$3.8-5.3bn versus ~US\$7.3bn in Jan 2025)
Xero (XRO.AX)	Wellington, NZ	~NZ\$2.8bn (~US\$1.65bn, 8% of INTU)	Leader in Australia/New Zealand and UK SMB cloud accounting	Accountant-channel-led distribution and a deliberately open third-party app ecosystem	One-thirteenth of Intuit's revenue, no US consumer tax franchise, market cap down ~59% y/y — and its own Anthropic partnership means Intuit's AI edge does not extend here
Sage Group (SGE.L)	Newcastle, UK	~US\$3.5bn TTM / GBP2.5bn FY25 (17% of INTU)	Leader in UK and European SMB, plus credible mid-market via Sage Intacct	Sage Intacct is the most established mid-market accounting alternative to Intuit Enterprise Suite; Barclays embedded-finance tie-up (Mar 2026)	Materially slower growth, on-premise legacy drag, one-sixth the revenue, minimal consumer exposure
Block / Cash App Taxes (XYZ)	Oakland, US	Group revenue over US\$20bn gross	Fastest-growing free-filer share taker; Square is a major SMB payments rival	US\$0 federal and state filing, distributed through a consumer app with tens of millions of users	No professional-grade general ledger, no assisted-tax capacity, monetises the customer elsewhere — which is why it can price filing at zero indefinitely
FreeTaxUSA / TaxHawk (private)	Provo, US	Not disclosed	Rapidly gaining DIY share; the specific agent of the FY26 miss	US\$0 federal on nearly all forms including itemised, investment and self-employment; US\$15.99 per state	No SMB business, no assisted scale, negligible brand spend — but it now sets the price ceiling for the entire DIY category
ADP / Paychex / Gusto / Rippling	US	ADP ~US\$21bn; Paychex ~US\$5.5bn	Payroll and human capital management incumbents and challengers	Compliance-grade payroll at scale; Rippling and Gusto win on modern user experience with startups	None owns the SMB ledger of record, so Intuit can bundle payroll into a subscription they must sell standalone
BILL / Ramp / Brex	US	BILL ~US\$1.5bn	Accounts payable automation and corporate spend	Best-of-breed AP and card products with sharp product velocity	They sit on top of the ledger Intuit owns, and the July 2026 Intuit Business Credit Card attacks their wedge directly
Thomson Reuters / Wolters Kluwer / Drake	US, Netherlands	Segment-level, not comparable	Professional preparer software (UltraTax CS, CCH Access)	Deeper functionality for large accounting firms than Lacerte or ProSeries	Serve the firm, not the end taxpayer — no consumer flywheel, and ProTax is only ~5% of Intuit revenue anyway
OpenAI / Anthropic / horizontal agents	US	n/a	Own the conversational entry point	General reasoning of very high quality, plus increasingly the surface where the user starts the task	No ledger of record, no e-file certification, no appetite for statutory filing liability — today. They are partners and channels before they are competitors

The moat, in order of durability

- Ledger of record and switching cost. Migrating a general ledger means abandoning transaction history, the audit trail, reconciled bank feeds, saved chart-of-accounts mappings, payroll year-to-date figures and the accountant's workpapers. The cost is not the subscription differential, it is a restated set of books. This is the hardest part of the moat and it is not AI-addressable.
- Regulatory and certification barrier. Four decades of encoded, litigated tax logic across the federal code, fifty states and three foreign regimes, re-certified annually against IRS Modernized e-File, with accuracy guarantees underwritten by Intuit's own balance sheet. A new entrant must build this before it can sell one return.
- The accountant channel. The ProAdvisor network and ProTax toolchain mean the professionals who advise small businesses are trained, certified and economically incentivised on Intuit's stack. This is the same channel advantage Xero built in Australasia, and it is why cheaper products do not simply win.
- The cross-domain data graph. Consumer credit file, small-business cash flow, payroll record and tax return for the same entity. Neither a competitor nor a model vendor can assemble it.
- Brand at the moment of anxiety. Tax filing is an annual, deadline-driven, penalty-bearing purchase where trust dominates price for most of the distribution. The 2026 season proved that 'most' is not 'all'.

The most credible threat, named

It is not OpenAI, and framing it as "AI" is what has produced a mispriced narrative in both directions. There are two specific threats and they attack different ends of the business.

Threat one — FreeTaxUSA (TaxHawk) and Cash App Taxes at the DIY low end. This is a price threat with no AI content whatsoever, and it has already inflicted the damage. FreeTaxUSA supports itemised deductions, investment income and Schedule C self-employment at US\$0 federal, which dismantles the argument that a complex return requires TurboTax; Cash App Taxes is free on both federal and state and is subsidised by Block's broader consumer economics, so it can hold that price indefinitely. Management's own words — "we lost on price" and a need to "evolve the business model by delivering the right lineup and price points" for simple filers — describe a response that is necessarily mix-dilutive. Fighting for the low end means average revenue per return goes down; conceding it means unit growth stays near zero. There is no free option, and that is a genuine impairment of the DIY franchise regardless of what AI does.

Threat two — Sage Intacct plus commoditised reasoning in mid-market. Intuit Enterprise Suite is the growth engine (plus 38% year on year) and the place where the AI story is real, but the frontier-model layer underneath it is rentable by anyone. Anthropic signed Intuit on 24 February 2026 and Xero roughly six weeks later; Sage has shipped Copilot and bought Fyle and Doyen AI. The differentiated input in mid-market ERP is therefore not the model, it is the proprietary data, the multi-entity close logic and the migration speed (90% of IES customers inside 30 days). If Intuit ever markets the partnership as the moat rather than the plumbing, that is the signal that the mid-market thesis has thinned.

The threat the market is pricing but which the data does not yet support is wholesale disintermediation — that a consumer or business simply asks a general agent to "do my books" and never touches a ledger product. The reason to doubt it on a two-to-three-year view is liability, not capability: someone must sign the filing, carry the penalty, hold the bank authorisation and pass the e-file schema. Today the frontier labs are explicitly routing *into* Intuit for exactly that reason — Intuit's tax, accounting and credit capabilities are surfaced inside ChatGPT and inside Claude (Cowork, Claude for Enterprise, Claude.ai) via Model Context Protocol integrations. That is a genuinely double-edged arrangement: it wins new customers and deepens attachment, and it also trains users to start the task somewhere other than in Intuit's interface, which over time transfers the customer relationship to the agent layer. Attach rate and retention on those integrations are the metrics that will settle it.

5 MANAGEMENT AND GOVERNANCE

Sasan Goodarzi — Chairman and Chief Executive Officer. Chief executive since January 2019, so roughly seven and a half years in the seat, and an Intuit insider since 2004 with prior responsibility for the Small Business and Self-Employed group and the Consumer group — an engineer by training who has run both of the divisions he now oversees. Under his tenure revenue has more than doubled (US\$9.6bn in FY21 to US\$20.9bn trailing), GAAP operating margin has gone from 26.0% to 27.5% through the trough of the Mailchimp integration, and the strategic pivot to assisted tax and mid-market ERP is his. He was styled "chief executive officer" in the September 2025 materials and "chairman and chief executive officer" by February 2026, which dates the combination of the two roles to the intervening period.

Sandeep Aujla — Chief Financial Officer since 2023, an internal promotion who previously served as segment CFO within Intuit, with a prior career at Visa. **Alex Balazs — Chief Technology Officer**, the public voice of the GenOS and partnership strategy, and the executive whose credibility is most directly attached to the AI thesis. Co-founder **Scott Cook** remains on the board as chair of the executive committee and is the largest individual holder.

Guidance accuracy — strong on the aggregate, wrong where it counted

Guidance vintage	FY26 revenue	FY26 non-GAAP dil. EPS	The composition
Initial, 21 Aug 2025	US\$20.997-21.186bn, +12-13%	US\$22.98-23.18	Consumer +8-9%, of which TurboTax +8%, Credit Karma +10-13%, ProTax +2-3%; GBS +14-15%
Reiterated, Q1 (20 Nov 2025) and Q2 (26 Feb 2026)	Unchanged	Unchanged	Unchanged. Q1 revenue +18%, Q2 +17% — both well ahead of the full-year rate
Raised, Q3 (20 May 2026)	US\$21.341-21.374bn, +13-14%	US\$23.80-23.85	Consumer raised to ~+10% but TurboTax CUT to ~+7% and Credit Karma RAISED to ~+19%; ProTax ~+4%; GBS raised to ~+16%

Intuit beat consensus revenue and earnings in each of the last four quarters and has never missed the top-line range it set. The problem is that the Q3 raise was a mix downgrade wearing a beat's clothing: the highest-quality, highest-margin, most-defensible line (TurboTax) was cut from +8% to ~+7% with the TurboTax revenue guide reduced to US\$5.277-5.282bn from US\$5.305-5.330bn, while the most cyclical and lowest-quality line — Credit Karma, a lending and insurance marketplace whose revenue is a function of lender marketing budgets and the credit cycle — was raised from +10-13% to ~+19% and carried the beat. Credit Karma itself decelerated sharply through the year (+27% in Q1, +23% in Q2, +15% in Q3), which is what a marketplace does when the lending cycle turns. An investor who read only the headline saw a raise; an investor who read the segments saw the durable engine slow and a cyclical engine flatter the print.

Capital allocation — the strongest part of the file

- Dividend: US\$4.80 annualised, raised approximately 15% in each of the last six years, on a payout of roughly 29% of earnings and under 20% of free cash flow. Unusually well covered for a growth-labelled name.
- Buybacks: US\$2.8bn repurchased in FY25, US\$961m in Q2 FY26, US\$1.6bn in Q3 FY26, with a fresh US\$8bn authorisation approved in May 2026 — a step-up in size deliberately timed against a 60% drawdown. Diluted share count is being reduced, not merely offset.
- Capital expenditure: US\$133m trailing on US\$20.9bn of revenue, 0.6%. Free cash flow of US\$7.76bn on 37.1% of revenue. There is no capital-intensity story here at all.
- Balance sheet: cash and investments of US\$6.78bn against total debt of US\$6.82bn at 30 April 2026 — essentially net-debt-neutral — plus a new US\$2.2bn unsecured revolving facility signed 9 January 2026 maturing January 2031.

- M&A: mixed, and the split is instructive. Credit Karma (approximately US\$7.1bn, 2020) compounded at +32% in FY25 and is now decelerating with the credit cycle. Mailchimp (approximately US\$12bn, 2021) is the blemish — it subtracts roughly 200 basis points from reported Global Business Solutions growth and management guides a return to double-digit growth only beyond FY26. No impairment has been taken; whether one is eventually required is a live question.

Insider ownership and transactions — the weakest part of the file

Aggregate insider ownership is reported at approximately 8%, with institutions at roughly 86% and retail the balance — but the insider figure is almost entirely co-founder Scott Cook, and sources diverge materially on the size of his stake (one aggregator reports approximately 12.1m shares, or 4.4% of the company; a Form 4 non-derivative reconstruction gives approximately 5.7m shares). Treat the range, not either point. The behaviour is unambiguous, however. Over an eighteen-month window insiders sold roughly 1.19m shares and bought approximately 1,750; over a rolling six-month window to spring 2026 open-market insider activity was reported as 110 sales and zero purchases, with Cook alone accounting for around 494,000 shares for approximately US\$328m. The chief executive's directly held non-derivative position is small (approximately 13,600 shares) against a Form 4 record showing seven sales and no open-market purchases over five years, most recently 41,000 shares on 7 January 2026 for roughly US\$27m — struck at a price implying near US\$660 per share, close to double today's level. In March 2026 the company reportedly halted management stock sales and scaled up the repurchase programme. The honest read: management is aligned through equity *compensation*, not through equity *bought with its own money*, and not a single insider stepped in during a 60% drawdown. Corporate conviction (the US\$8bn authorisation) is real; personal conviction is not evidenced.

Governance flags

- Combined chair and chief executive. Goodarzi held the CEO title alone as recently as September 2025 and was chairman by February 2026, replacing a structure with an independent board chair. For a company under an active securities class action and a strategic pivot, consolidating the roles reduces exactly the independent challenge that would be most valuable now. This is the clearest governance negative in the file.
- Single share class, one share one vote, thirteen directors with a majority independent. Clean — there is no dual-class or founder-control overhang, and institutions can and do exert pressure through the ballot. Bill McDermott and Adena Friedman were added to the board in 2026, both plausible additions for the AI and fintech agenda.
- Securities class action, filed July 2026 in the wake of the 20-21 May decline, alleging misrepresentation of TurboTax's price positioning among DIY filers before and during the 2026 season. Multiple firms are soliciting. The financial exposure is unlikely to be material against US\$7.8bn of annual free cash flow; the cost is management time and a discovery process running through the FY27 season.
- Aggressive non-GAAP framing. FY26 GAAP diluted EPS is guided at US\$15.79-15.84 against non-GAAP of US\$23.80-23.85 — a gap of roughly 50%, principally share-based compensation. Management's stated commitment to 'mid-teens EPS growth annually' is on the non-GAAP measure. Underwrite the GAAP line.
- No related-party transactions or board-independence issues identified beyond the chair combination.

Assessment. Competent, experienced operators with an exemplary and boring capital-returns record, a genuine technical build (GenOS is not a press release, it is a stack), and a clean share structure. The credibility damage is real but narrow and specific: they misjudged their own price elasticity at the low end of DIY, told the market a more confident story than the season delivered, and then presented a mix-degraded quarter as a raise. They are not, on the evidence, buyers of their own stock. Aligned: partially. Competent: yes. Credible: impaired, and repairable on 20 August by guiding fiscal 2027 conservatively rather than defensively.

6 FINANCIAL TRAJECTORY

Annual (fiscal years to 31 July, US\$m except per-share and percentages)

Fiscal year	Revenue	Growth	Gross margin	GAAP op. margin	Net income	GAAP dil. EPS	Free cash flow	FCF margin
FY21	9,633	+25.5%	83.1%	26.0%	2,062	7.56	3,178	33.0%
FY22	12,726	+32.1%	82.2%	20.2%	2,066	7.28	3,732	29.3%
FY23	14,368	+12.9%	79.3%	21.9%	2,384	8.42	4,836	33.7%
FY24	16,285	+13.3%	79.6%	22.3%	2,963	10.43	4,693	28.8%
FY25	18,831	+15.6%	80.4%	26.1%	3,869	13.67	6,123	32.5%
TTM to 30 Apr 26	20,905	+15.0%	80.8%	27.5%	4,203	16.51	7,755	37.1%
FY26 guidance	21,341-21,374	+13-14%	n/g	26.7-26.8%	n/g	15.79-15.84	n/g	n/g

Read the FY22 dip in margin and the FY23 gross-margin step-down as the Mailchimp integration (closed FY22), not as operating deterioration. The important pattern is the last three years: gross margin recovering from 79.3% to 80.8% *while* the AI build-out ran, and GAAP operating margin expanding 560 basis points from FY23 to trailing. Free cash flow has grown at approximately 25% compound over five years and now converts at 37% of revenue. Note that FY26 guided GAAP operating margin dips below the trailing rate purely because US\$300-340m of restructuring charges land in Q4; on a non-GAAP basis the FY26 guide implies approximately 41% against approximately 40% in FY25.

Quarterly progression through fiscal 2026 (US\$m unless stated)

Metric	Q1 FY26 (to 31 Oct 25)	Q2 FY26 (to 31 Jan 26)	Q3 FY26 (to 30 Apr 26)	Q4 FY26 guidance (to 31 Jul 26)
Total revenue	3,900 (+18%)	4,700 (+17%)	8,558 (+10%)	+11-12%
Global Business Solutions	3,000 (+18%)	3,200 (+18%)	3,300 (+15%); +17% ex-Mailchimp	n/g
of which Online Ecosystem	2,400 (+21%)	2,500 (+21%)	2,500 (+19%); +22% ex-Mailchimp	n/g
QuickBooks Online Accounting	+25%	n/d	+22%	n/g
Consumer (TurboTax + Credit Karma + ProTax)	894 (+21%)	1,500 (+15%)	5,300 (+8%)	n/g
TurboTax	198 (+6%)	581 (+12%)	4,400 (+7%)	FY26 total 5,277-5,282
Credit Karma	651 (+27%)	616 (+23%)	631 (+15%)	FY26 ~+19%
ProTax	45 (+15%)	290 (+7%)	278 (flat)	FY26 ~+4%
GAAP operating income	534 (+97%)	855 (+44%)	4,020 (+8%)	n/g
Non-GAAP operating income	1,300 (+32%)	1,500 (+23%)	4,700 (+8%)	n/g
GAAP diluted EPS (US\$)	1.59 (+127%)	2.48 (+49%)	11.09 (+11%)	0.73-0.79
Non-GAAP diluted EPS (US\$)	3.34 (+34%)	4.15 (+25%)	12.80 (+10%)	3.56-3.62

The shape of the year is the thesis in one table. Revenue growth decelerated from +18% to +17% to +10% as the mix rotated into the tax quarter, and both GAAP and non-GAAP operating income growth collapsed to +8% in Q3 from +97% and +32% in Q1. Q3 is roughly 40% of annual revenue, so the season is not one quarter among four — it is the year. Within Q3, the business lines that were supposed to be structurally impaired by AI grew fastest (QuickBooks Online Accounting +22%, Online Ecosystem ex-Mailchimp +22%,

QBO Advanced plus Intuit Enterprise Suite +38%), and the line that was supposed to be defended by brand and complexity grew +7% on +2% units. That inversion is the single most useful fact in this report.

Management guidance and medium-term targets

- FY26 (raised 20 May 2026): revenue US\$21.341-21.374bn, +13-14%; GAAP operating income US\$5.705-5.725bn, +16%; non-GAAP operating income US\$8.784-8.804bn, +16%; GAAP diluted EPS US\$15.79-15.84; non-GAAP diluted EPS US\$23.80-23.85. Note GAAP operating income guidance was reduced from the original US\$5.782-5.859bn purely to absorb restructuring, while non-GAAP was raised from US\$8.611-8.688bn.
- Q4 FY26: revenue +11-12%; GAAP diluted EPS US\$0.73-0.79 (including approximately US\$300m of restructuring); non-GAAP diluted EPS US\$3.56-3.62, comfortably above the roughly US\$3.13 consensus at the time.
- Segment FY26: Global Business Solutions approximately +16%; Consumer approximately +10%, comprising TurboTax approximately +7%, Credit Karma approximately +19% and ProTax approximately +4%.
- Medium-term framing: management has committed publicly to double-digit revenue growth with continued operating margin expansion, and to mid-teens earnings-per-share growth annually on a non-GAAP basis. There is no formal multi-year revenue target of the kind Xero or Sage publish, which means the 20 August fiscal 2027 guide carries disproportionate information value.
- Mailchimp: double-digit growth guided only beyond fiscal 2026 — i.e. no recovery is embedded in the FY27 base case.

Balance sheet items that matter

- Net debt is effectively zero: US\$6.78bn cash and investments against US\$6.82bn total debt at 30 April 2026, versus net debt of US\$2.02bn at FY25 year-end. The cash build is seasonal (tax-season collections) and will partly reverse. Note the company's own release cited US\$6.2bn of debt against the US\$6.82bn total-debt figure in aggregator data, which is a current-versus-total classification difference rather than a discrepancy.
- New US\$2.2bn unsecured revolving credit facility signed 9 January 2026, maturing 9 January 2031, replacing the February 2024 agreement. Undrawn liquidity is ample.
- The TurboTax early-refund facility was terminated effective 26 February 2026 — a small deleveraging of consumer credit exposure and, simultaneously, the loss of an acquisition tool at the price-sensitive end.
- Restructuring: US\$300-340m of largely cash charges for the 17% workforce reduction, recognised principally in Q4 FY26, plus the closure of the Reno and Woodland Hills sites. Expect the FY27 cost base to reset lower and the year-on-year margin optics to be flattered for four quarters.
- Dilution: none of concern. Share count is falling on a US\$8bn authorisation against a US\$83-91bn market capitalisation — roughly 9-10% of the company authorised for repurchase at a two-thirds-compressed multiple.
- Impairment watch: Mailchimp goodwill and intangibles carry the US\$12bn 2021 purchase price against a business management describes as sub-double-digit growth for at least another year. No impairment has been taken. This is the most likely source of an unpleasant non-cash surprise.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Q4 and full-year FY26 results with the first fiscal 2027 guidance	20 Aug 2026 (confirmed)	The dominant event by an order of magnitude. Intuit sets full-year guidance with its Q4 print. A FY27 revenue guide at or above 12% with TurboTax units stabilised would directly contradict the structural-impairment thesis at an 11.7x forward multiple. A guide starting with a 9 or 10, or any further TurboTax unit weakness, converts the de-rating from sentiment to fundamentals	High (event certain; direction not)
FY27 TurboTax lineup and price-point announcement	Aug-Nov 2026	Management has committed to 'evolve the business model' with the right lineup and price points for simple filers. The specific decision — whether to field a genuinely free competitive tier — determines whether FY27 DIY is a unit-recovery story or a further ARPC-led grind	High
Realisation of the 17% workforce reduction in reported cost of revenue and operating expense	Q1 FY27 (print ~Nov 2026)	US\$300-340m charged in Q4 FY26 against an annualised saving that should be visible from Q1 FY27. Watch cost of revenue as a percentage of revenue specifically, to separate genuine savings from inference cost inflation	High
Anthropic and OpenAI integration attach-rate disclosure	Q4 FY26 or Q1 FY27	First quantitative evidence of whether surfacing Intuit inside ChatGPT and Claude wins incremental customers or trains users to start elsewhere. Either read materially resets the terminal-value debate	Medium (disclosure is discretionary)
Intuit Enterprise Suite and mid-market disclosure	20 Aug 2026 and Investor Day (Sep 2026, expected)	The +38% QBO Advanced plus IES growth line and 'north of 30 percent' mid-market commentary need a revenue denominator. Any move to disclose IES revenue or customer count would let the market value the growth engine separately from the tax franchise	Medium
Continued buyback execution against the US\$8bn authorisation	Ongoing	US\$1.6bn was repurchased in Q3 FY26 alone. Sustained execution at 11x forward earnings mechanically compounds per-share value and is the clearest available signal of corporate conviction	High
Securities class action procedural milestones	H2 2026 into 2027	Lead-plaintiff appointment, consolidation and any motion to dismiss. Financially immaterial against US\$7.8bn of free cash flow, but discovery into internal pricing analyses could surface unhelpful documents during the FY27 season	Medium
Mailchimp inflection or impairment	FY27	Management has ruled out double-digit growth within FY26. Either a credible re-acceleration plan or a goodwill write-down. The write-down would be non-cash and arguably clarifying	Low-Medium
IRS Direct File reinstatement or a new free-file mandate	2027 filing season at the earliest	Direct File was cancelled on 3 Nov 2025 for the 2026 season with no relaunch date. A reversal would attack the low end that Intuit has already largely lost, so incremental damage is smaller than it would have been two years ago	Low
Credit Karma cycle turn	FY27	Deceleration from +27% to +15% across FY26 tracks lender marketing budgets. A genuine credit-cycle downturn removes the line that carried the FY26 beat	Medium

Key risks, each specific and named

Risk 1 — the DIY price floor is set at zero by FreeTaxUSA and Cash App Taxes, and Intuit has no good answer. This is not a narrative risk; it has already cost a guidance cut and a twenty-percent single-day decline. FreeTaxUSA (TaxHawk, private, Provo) prices a complete federal return at US\$0 including itemised deductions, investment income and Schedule C self-employment, charging US\$15.99 per state; Cash App Taxes (Block) is free on both federal and state and is cross-subsidised by Cash App's consumer economics, so it can hold that price indefinitely. Together they have removed the argument that a complex return requires TurboTax's US\$60-130-plus lineup. Intuit's stated response — the right lineup and price points for simple filers — is definitionally mix-dilutive: TurboTax revenue grew 7% on 2% unit growth in FY26, so roughly 70% of the growth was price, and fighting on price removes it. The bind is that conceding the low end also forfeits the funnel into TurboTax Live, which is the high-ASP engine. Quantify the downside: if FY27 TurboTax units go flat and average revenue per return goes flat to protect them, TurboTax revenue

growth goes to roughly zero against a line worth approximately US\$5.3bn, or a quarter of group revenue — roughly 175 basis points off group growth before any Credit Karma offset.

Risk 2 — the frontier labs are simultaneously suppliers, channels and potential disintermediators, and Intuit has no exclusivity in any direction. Intuit pays OpenAI a reported figure above US\$100m per year and has a multi-year Anthropic partnership under which TurboTax, QuickBooks, Credit Karma and Mailchimp are surfaced inside ChatGPT and inside Cowork, Claude for Enterprise and Claude.ai through Model Context Protocol integrations. In the near term this is customer acquisition. Over a longer horizon it habituates the user to beginning the task in a general agent, at which point the agent owns the relationship, the context and the cross-sell, and Intuit becomes a licensed calculation-and-filing utility earning a fee rather than a subscription. The absence of exclusivity is the sharpest form of the risk: Anthropic signed Xero roughly six weeks after Intuit, so the reasoning layer that mid-market customers are being sold on is available identically to Intuit's closest ANZ and UK competitor and, in different form, to Sage via Copilot. Whatever premium the market once paid for Intuit's AI partnerships is not defensible.

Risk 3 — Mailchimp is a US\$12bn capital-allocation error still sitting on the balance sheet at cost. Mailchimp subtracts approximately two percentage points from reported Global Business Solutions growth (Q3 FY26: 15% reported, 17% excluding it) and management has explicitly pushed a return to double-digit growth beyond fiscal 2026 — the third consecutive year of deferral. Its competitive position against Klaviyo in commerce marketing and HubSpot in small-business customer relationship management has not improved. No impairment has been recognised against the 2021 purchase price. The risk is not the cash — it is spent — but that a write-down arrives alongside a soft FY27 guide and gives the bear case a headline number to point at, and that management's willingness to defer rather than act on Mailchimp is read across to the harder decisions in DIY tax.

Risk 4 — the 17% reduction in force cuts into the human half of a strategy that is explicitly 'AI plus human intelligence'. Approximately 3,000 roles are going, the Reno and Woodland Hills sites are closing, and the incremental growth story in Consumer is TurboTax Live — a product whose unit economics depend on having credentialled experts available in volume between February and April, and on customers believing a human is genuinely behind the answer. The FY27 season is the first test of whether agentic workflows can carry the assisted load at a materially lower expert-to-customer ratio. If they cannot, the failure shows up as service-quality complaints and churn inside the highest-ASP cohort Intuit has, at the exact moment the low end is also under price attack. The margin benefit is booked in advance; the service risk is realised eight months later.

Risk 5 — extreme fiscal-quarter concentration means one bad season is one bad year, with no geographic offset. Q3 FY26 alone was US\$8.56bn of a roughly US\$21.36bn year — approximately 40% of annual revenue recognised in three months, driven by a filing deadline set by a single regulator in a single country. International online revenue grew 9% on a constant-currency basis in Q1 FY26 and is immaterial to group. There is no second season, no counter-cyclical geography and no way to defer the outcome: a 30 basis point contraction in aggregate IRS filings — roughly two million returns, the sharpest since the post-COVID season — was sufficient to force a guidance cut. The structural point for position sizing is that Intuit's information calendar is lumpy: essentially all of the year's genuine news arrives in the May and August prints.

Risk 6 — Credit Karma carried the FY26 beat and is the most cyclical asset in the portfolio. Credit Karma was guided at +10-13% for FY26 and raised to approximately +19%, which is what covered the TurboTax shortfall. But its revenue is lender and insurer marketing spend on personal loans, credit cards and auto insurance — a line item that is cut first in a credit downturn — and it decelerated from +27% in Q1 to +23% in Q2 to +15% in Q3. If FY27 consensus embeds high-teens Credit Karma growth into a turning credit cycle while TurboTax is also flat, the group revenue guide has two independent sources of downside and only mid-market ERP to offset them.

8 VALUATION CONTEXT

What the de-rating actually did to the multiple

Multiple	At FY25 year-end (31 Jul 2025)	Now (29 Jul 2026)	Compression
Trailing P/E	57.4x	19.1x	-67%
Forward P/E	34.9x	11.7x	-66%
Price / free cash flow	35.8x	11.0x	-69%
Price / sales	11.6x	4.1x	-65%
Dividend yield	0.54%	1.44%	+90bp

Over the twelve months in which those multiples fell by roughly two-thirds, revenue grew 15%, GAAP operating margin expanded from 26.1% to 27.5%, free cash flow grew 27% to US\$7.76bn and the dividend was raised 15%. Essentially none of the de-rating is explained by delivered financial performance. It is explained by (a) a genuine impairment at the DIY low end worth perhaps 175 basis points of group growth, and (b) a re-rating of the terminal multiple the market is willing to pay for application software in an agentic world. Historically Intuit commanded 30-40x earnings; it now trades below the S&P 500 on forward earnings. That is a regime change in the discount rate applied to the story, not a change in the numbers.

Comparable companies

Company	Market cap	Revenue (TTM)	P/E	EV/EBITDA	Revenue growth	End-market exposure
Intuit (INTU)	US\$83-91bn	US\$20.9bn	19.1x trailing / 11.7x forward	~9x on FY26 guided non-GAAP operating income (est.)	+15.0% TTM; +13-14% FY26 guided	US SMB ledger, payments and payroll ~53% of revenue; US consumer DIY and assisted tax ~25%; consumer credit marketplace ~11%; professional tax ~5%; marketing (Mailchimp) the balance
H&R Block (HRB)	US\$3.8-5.3bn (source dispersion Jun-Jul 2026)	~US\$3.8bn	~9-10x trailing (est., derived)	Not verified this pass	Low single digit	Almost pure US consumer tax: assisted through ~12,000 retail offices plus DIY software; small SMB bookkeeping and payments adjunct
Xero (XRO.AX)	~US\$7.8-8.2bn (A\$12.0bn)	~NZ\$2.8bn (~US\$1.65bn)	~77x trailing	~18x	+28% last reported fiscal year	SMB cloud accounting in Australia/New Zealand and the UK, expanding into US payments via Melio; no consumer tax, no consumer credit
Sage Group (SGE.L)	~US\$10.9bn	~US\$3.5bn (GBP2.5bn FY25)	~24-25x (est., derived)	Not verified this pass	High single digit	UK and European SMB accounting and payroll plus mid-market via Sage Intacct; on-premise legacy still material; no consumer exposure

The comparison that matters is not the absolute level but the relationship. Intuit is the fastest-growing of the four at scale, has the highest margin structure (80.8% gross, 37% free cash flow conversion), the only genuinely diversified revenue base across business software, consumer tax, payments and consumer credit — and trades at roughly half Sage's earnings multiple and roughly a sixth of Xero's. Xero at approximately 77x trailing earnings and 18x EBITDA is carrying a growth premium on 28% growth and 6% net margin; Intuit at 11.7x forward is being priced as a melting ice cube on 13-14% growth and 22% net margin. Both cannot be right about the same technology cycle, and notably both have signed the same AI supplier. H&R; Block at roughly 9-10x is the market's explicit price for a structurally challenged US consumer tax franchise; Intuit at 11.7x is trading closer to that anchor than to the software complex, which is the clearest single statement of what the market currently believes Intuit is.

Bull case

The bull case is a mix-recognition case, not a growth-acceleration case. Group revenue compounds 11-13% in fiscal 2027 with Global Business Solutions in the mid-to-high teens, Intuit Enterprise Suite and QuickBooks Online Advanced continuing above 30%, Online Services growing low-to-mid teens on payment and payroll take rate, and TurboTax flat-to-modestly-up as management trades some average revenue per return for unit stabilisation. The US\$300-340m restructuring delivers an annualised saving on approximately 3,000 roles that lands in fiscal 2027, holding non-GAAP operating margin at or above 41% and driving mid-teens non-GAAP earnings growth to roughly US\$27 per share. Against that, the US\$8bn authorisation retires 9-10% of the share count at 11x earnings. If the 20 August guide validates that shape, the multiple does not need to return to 30x — a re-rating to 16-18x forward earnings, still a discount to Sage and to the market, on roughly US\$27 of fiscal 2027 non-GAAP earnings implies a share price in the US\$430-490 range, which is where the sell-side consensus target of approximately US\$456 already sits. The asymmetry comes from the fact that free cash flow of US\$7.8bn against an US\$83-91bn market capitalisation gives a 9% free cash flow yield on a business with no capital intensity, no net debt, an unimpeachable competitive position in the SMB general ledger, and 27 of 34 covering analysts still rating it a buy — you are being paid a mature-industrial yield to own the compliance layer of the US small-business economy.

Bear case

The bear case is that fiscal 2026 was the first year of a permanent step-down and the market is early rather than wrong. TurboTax units grew 2% in a season in which the government's free competitor had been abolished — the single most favourable competitive configuration Intuit will ever face — and Intuit still lost share on price to FreeTaxUSA and Cash App Taxes. If FY27 TurboTax revenue growth goes to zero on a US\$5.3bn base while Credit Karma decelerates through the credit cycle from +15% toward single digits, group growth guides to 9-10% and the 'double-digit growth with margin expansion' commitment breaks for the first time. Mailchimp delivers a goodwill impairment against its US\$12bn cost in the same window. Cost of revenue begins to inflect as agentic workflows prove structurally more token-intensive than the single-turn prompting they replaced, so gross margin gives back the 120 basis points it gained, and the headline operating margin only looks stable because 3,000 people left. Meanwhile the OpenAI and Anthropic integrations do exactly what the bears expect — they habituate users to starting the task in a general agent, and Intuit's economics migrate from a subscription to a per-call filing fee, which is a lower-multiple business by construction. On that path an application-software business growing 9% with a contested terminal value does not deserve 11.7x; it deserves H&R; Block's 9x on lower earnings, and Piper Sandler's US\$250 underweight target is the honest expression of it. The de-rating trigger to watch is not a revenue miss — it is the first fiscal year in which management declines to guide double-digit revenue growth.

9

WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

Across a coverage universe you cannot read everything, so you need to know in advance which single number in each upcoming report will actually move the stock and settle the argument. This table names that one metric per company, dates the report, and says what a beat or miss means, so research and monitoring time can be allocated by information value rather than by whatever happens to arrive first.

Company	Next earnings	Days away	The one metric	Why it matters
Intuit (INTU)	20 Aug 2026 (confirmed) -- Q4 and full-year FY26, with initial FY27 guidance	~21 days	The fiscal 2027 total revenue growth guide, read jointly with FY26 TurboTax online paying unit growth against the 2% guided figure. The specific threshold: a FY27 revenue guide with a 12-handle or better, and any TurboTax unit number above 2%	This is the whole thesis in one line. At 11.7x forward earnings the market has priced a structural step-down; a double-digit FY27 guide with stabilised DIY units says the impairment is a US\$5.3bn segment problem, not a franchise problem, and the multiple is wrong by 40-50%. A guide starting with a 9 or 10, or another year of sub-2% units, converts the de-rating from sentiment to fundamentals and validates the US\$250-304 bear targets. Secondary reads on the same print: cost of revenue as a percentage of revenue (the inference-cost tell, now partly masked by the reduction in force), any Mailchimp impairment, and buyback pace against the US\$8bn authorisation
H&R Block (HRB)	Fiscal Q1 FY27, early Sep 2026 (est. from prior-year cadence)	~35 days (est.)	Any commentary on 2026-season DIY unit share and free-tier strategy for the 2027 season	H&R Block is the cleanest independent read on whether the 2026 DIY share loss went to free competitors generally or to TurboTax's pricing specifically. If Block also lost low-end units, the story is category deflation and Intuit's relative position is intact; if Block gained, Intuit's pricing error is company-specific and more damaging
Xero (XRO.AX)	Annual meeting 27 Aug 2026; H1 FY27 result 11-12 Nov 2026 (confirmed)	~28 days / ~105 days	Group gross margin trajectory against the 83.9% FY26 exit and ANZ monthly recurring revenue churn against the 1.14% base	Xero is the control experiment for the AI narrative: same technology cycle, same Anthropic supplier, no US consumer tax exposure, and a comparable ~59% de-rating. If Xero's SMB metrics hold while Intuit's tax franchise wobbles, the sector de-rating is sentiment and the differentiated damage is Intuit's DIY pricing alone -- which is the more investable conclusion
Sage Group (SGE.L)	FY26 full-year results, Nov 2026 (est.)	~110 days (est.)	Sage Intacct annualised recurring revenue growth and any disclosed win rate against Intuit Enterprise Suite in mid-market	Intuit Enterprise Suite growing above 30% is the load-bearing element of the bull case. Sage Intacct is the incumbent it must take share from, so Intacct's growth rate is the external check on whether the +38% QBO Advanced plus IES figure represents genuine share capture or a favourable denominator

Prioritisation. Read Intuit on 20 August and treat everything else as confirmation. This is an unusually clean setup: a single scheduled event, twenty-one days out, in which management must for the first time attach a number to fiscal 2027 after conceding a pricing failure — and the stock is priced such that the two plausible guides sit either side of a 40-50% valuation gap. There is no interpretive ambiguity to trade around and no reason to pre-position on partial information. The second-order sequencing is Xero on 27 August and 11-12 November as the control for sector-versus-company attribution, and H&R; Block in early September as the read on where the DIY units actually went. Sage in November matters only if the mid-market leg of the bull case is the part being underwritten. If the 20 August guide comes in double digits, the subsequent question is no longer whether the franchise is intact but how quickly the buyback can be executed against a compressed multiple -- which is a much better problem to be researching.

A VERIFICATION LOG

Report: Intuit Inc. (INTU) -- initiation. Verification date: 30 July 2026. Companies referenced with data points: 4 primary (INTU, HRB, XRO, SGE) plus contextual mentions. Method: company press releases and SEC 8-K exhibits for all Intuit financials and guidance, cross-referenced against an independent financial aggregator for annual series, margins, cash flow and multiples.

Item	Status	Note
INTU ticker and exchange	CLEAN	Nasdaq: INTU confirmed. IPO 12 Mar 1993. HQ Mountain View, California. Fiscal year ends 31 July

Item	Status	Note
Share price US\$333.13 (29 Jul 2026 close)	CLEAN	Aggregator real-time quote; +6.43% on the day, after-hours US\$334.43. 52-week range US\$252.84-813.70
Market capitalisation	FLAGGED -- range shown	US\$91.12bn on the 29 Jul close versus US\$83.13bn reported by a second source as at 27 Jul. The gap is a pricing-date artefact, not a share-count dispute (273.54m shares x US\$333.13 = US\$91.1bn). Range used throughout
FY26 guidance (revenue, operating income, EPS)	CLEAN	Company press release and 8-K exhibit, 20 May 2026. Initial 21 Aug 2025 guidance and the Sep 2025 Investor Day reiteration also confirmed to primary source
Q1, Q2, Q3 FY26 revenue, segment and EPS detail	CLEAN	All three quarters taken from company press releases / SEC 8-K exhibits dated 20 Nov 2025, 26 Feb 2026 and 20 May 2026
Annual series FY21-FY25 and TTM (revenue, margins, net income, EPS, FCF)	CLEAN	Aggregator series sourced from a recognised fundamental data provider; FY25 revenue US\$18.831bn and +16% growth independently confirmed against the company's FY25 release and proxy statement
TTM net income and EPS	FLAGGED -- minor	Aggregator overview page shows US\$4.58bn / US\$16.35 while its own financials table shows US\$4.203bn / US\$16.51 for the same TTM period. The financials-table figures are used throughout for internal consistency
17% workforce reduction and restructuring charge	CLEAN	Company release 20 May 2026: 17% of full-time workforce, US\$300-340m charges largely in Q4 FY26. The 'approximately 3,000 roles' figure and the Reno / Woodland Hills closures are from secondary coverage -- directionally consistent with an 18,200 headcount base
Employee count 18,200	EST.	Aggregator figure, most likely the FY25 10-K disclosure and therefore pre-reduction. Post-reduction headcount of roughly 15,100 is implied, not disclosed
TurboTax guidance cut and 'lost on price' commentary	CLEAN	TurboTax FY26 revenue guide reduced to US\$5.277-5.282bn from US\$5.305-5.330bn; online paying units guided +2%; total IRS filings expected down approximately 30 basis points (roughly 2 million returns). Management quotations confirmed across multiple independent reports of the 20 May call
Share price reaction 20-21 May 2026	CLEAN	US\$383.93 to US\$307.07, a decline of US\$76.86 or 20%, consistently reported
Securities class action	CLEAN	Multiple firms announced investigations from late May 2026 and filed class actions in July 2026, alleging misrepresentation of TurboTax price positioning among DIY filers. Status: filed, pre-consolidation. No view expressed on merits
Anthropic partnership (24 Feb 2026)	CLEAN	Confirmed to Intuit investor-relations press release and Intuit's own product blog. Multi-year; Claude Agent SDK on the Intuit platform for mid-market custom agents; Intuit surfaced inside Cowork, Claude for Enterprise and Claude.ai via Model Context Protocol; rollout from spring 2026; Claude Code deployed internally
OpenAI partnership and reported spend	FLAGGED	Partnership announced Nov 2025 and confirmed to secondary coverage and Intuit statements. The 'over US\$100m per year' figure is from a third-party research note, not a company disclosure. Treat as directional
Xero-Anthropic partnership (Mar 2026)	CLEAN	Independently reported; material because it removes exclusivity from Intuit's AI supply arrangement
GenOS architecture and component names	CLEAN	GenStudio, GenRuntime, GenOrchestrator, GenUX, Agent Starter Kit, Evaluation Service, Financial Intuit LLMs, and the model catalogue (Claude via AWS Bedrock, Gemini, Llama, Mistral, Amazon Nova, OpenAI GPT via Azure) all confirmed to Intuit press releases and the company technology page
'5% better accuracy, 50% lower latency' for Financial Intuit LLMs	EST. -- company claim	Intuit's own figure, stated as applying to 'some accounting workflows' versus 'certain general-purpose off-the-shelf LLMs'. Not independently benchmarked. Directional
Intuit Enterprise Suite specifications	CLEAN	200-plus entities, multi-dimensional financial management, 90% of customers migrating in under 30 days -- all company-stated. QBO Advanced plus IES revenue +38% y/y in Q3 FY26 confirmed to secondary coverage of the quarter
IRS Direct File cancellation	CLEAN	IRS announced on 3 Nov 2025 that Direct File would not be available for the 2026 filing season, with no relaunch date. Treasury cited 296,531 users in 2025 at approximately US\$138 per return

Item	Status	Note
FreeTaxUSA and Cash App Taxes pricing	CLEAN	FreeTaxUSA US\$0 federal across substantially all forms, US\$15.99 per state; Cash App Taxes free federal and state. Both confirmed across multiple independent 2026-season reviews. FreeTaxUSA (TaxHawk) is private -- no financials available
Insider ownership percentages	FLAGGED -- sources conflict	One aggregator reports 85.57% institutional / 8.00% insider / 6.43% retail with Scott Cook at 12.11m shares (4.43%); a Form 4 non-derivative reconstruction gives Cook approximately 5.67m shares. Both are reported; neither is reconciled to the latest proxy. Range presented
Insider transaction record	CLEAN -- direction, EST. -- precision	Consistent across two independent trackers: net insider selling of roughly 1.19m shares over eighteen months, 110 open-market sales and zero purchases over a six-month window, Cook approximately 494,000 shares for approximately US\$328m, Goodarzi 41,000 shares on 7 Jan 2026 for approximately US\$27m. Individual figures may be trailing-window-dependent
March 2026 halt to management stock sales	FLAGGED	Reported in secondary coverage citing Reuters; not verified to a company filing in this pass
Combined chair and CEO	CLEAN -- inferred from primary sources	Goodarzi is styled 'chief executive officer' in the Sep 2025 Investor Day release and 'chairman and chief executive officer' in the Feb 2026 and May 2026 releases. The exact appointment date was not located
Board composition and 2026 additions	EST.	Thirteen directors with a majority independent, single share class one-vote structure -- consistent across secondary sources referencing the proxy. Bill McDermott and Adena Friedman additions reported in secondary coverage, not verified to the proxy
H&R Block (HRB) data	FLAGGED -- range shown	Market capitalisation reported at US\$3.78bn (19 Jun), US\$4.03bn (Apr) and US\$5.34bn (17 Jul) across three sources; share price US\$42.08 on 17 Jul; TTM revenue approximately US\$3.79bn. The P/E of approximately 9-10x is derived, not sourced. Fiscal year ends 30 April
Xero (XRO.AX) data	FLAGGED -- currency confusion in sources	Sources variously report revenue as A\$2.8bn, A\$1.67bn and US\$1.62bn; these reconcile as NZ\$2.8bn reported currency, approximately US\$1.65bn. Market capitalisation A\$11.98bn (13 Jul) / US\$8.18bn. P/E approximately 77x and EV/EBITDA approximately 18x from a comps provider. Xero was covered separately in this library -- see prior note for the full picture
Sage Group (SGE.L) data	EST.	Market capitalisation approximately US\$10.9bn and TTM revenue approximately US\$3.53bn from a single provider as at 20 May 2026; FY25 revenue GBP2,513m and net income GBP369m from a general reference source. The P/E of approximately 24-25x is derived from the provider's US\$12.02 price and US\$0.49 EPS
Segment revenue mix percentages in the comp table	EST.	Derived by the analyst from FY25 and TTM product-line disclosure; Credit Karma is not separately broken out in the aggregator product series and was solved for as a residual
Non-GAAP operating margin ~41% FY26 vs ~40% FY25	EST.	Derived from guided non-GAAP operating income over guided revenue and the equivalent FY25 implied figure. Not a company-stated margin
Bull-case FY27 non-GAAP EPS of ~US\$27	EST. -- analyst construct	Applies mid-teens growth to the FY26 guided US\$23.80-23.85. Not a forecast, not a price target, and not company guidance
Consensus price target US\$456.47 and 27 of 34 buy ratings	CLEAN -- as at date	Aggregator consensus from 35 analysts as at 29 Jul 2026; the 27-of-34 buy split is from a June 2026 source and may have shifted with the Morgan Stanley, TD Cowen, Stifel and Piper Sandler downgrades
Next earnings date 20 Aug 2026	CLEAN	Aggregator earnings calendar. Consistent with the company's historical late-August Q4 cadence. Treated as confirmed

Corrections applied. Two. First, the trailing net income and earnings-per-share figures were standardised to the aggregator's financial-statement table (US\$4.203bn / US\$16.51) rather than its overview panel (US\$4.58bn / US\$16.35), and the divergence is flagged above. Second, an initial draft cited a specific QuickBooks US customer count sourced from a low-quality aggregator; it has been replaced with a qualitative statement because the figure could not be traced to a company disclosure. No company was removed from the comparable set. Where sources conflicted on market capitalisation (INTU, HRB, XRO), ranges are shown rather than point estimates.

Coverage limitations. This is a single-company initiation researched in-chat across thirteen targeted searches and two full-page fetches. Three areas are thinner than they should be and would repay follow-up: (i) peer earnings multiples for H&R; Block and Sage are derived rather than sourced; (ii) the fiscal 2026 proxy statement was not read in full, so executive compensation structure and the precise beneficial-ownership table are not independently verified; and (iii) Intuit does not disclose Intuit Enterprise Suite revenue or customer counts, so the mid-market growth engine is assessed only through relative growth rates.

B**ACRONYM GLOSSARY**

Acronym	Full name and meaning in this report
AI	Artificial intelligence
AP / AR	Accounts payable / accounts receivable
ARPC / ARPR	Average revenue per customer / average revenue per return
ASP	Average selling price
ATO	Australian Taxation Office
AWS	Amazon Web Services -- Intuit's primary cloud provider and the route to Bedrock-hosted models
Bedrock	Amazon Bedrock, AWS's managed multi-vendor foundation-model service
CFO / CTO	Chief financial officer / chief technology officer
CRA	Canada Revenue Agency
DIY	Do-it-yourself -- self-prepared consumer tax filing, as distinct from assisted or full-service
EBIT / EBITDA	Earnings before interest and tax / before interest, tax, depreciation and amortisation
EPS	Earnings per share. GAAP and non-GAAP figures differ by roughly 50% at Intuit, principally share-based compensation
ERP	Enterprise resource planning -- integrated financial and operational management software
EV	Enterprise value -- market capitalisation plus net debt
FCF	Free cash flow -- operating cash flow less capital expenditure
FY	Fiscal year. Intuit's ends 31 July; H&R Block's ends 30 April; Xero's ends 31 March
GAAP	Generally Accepted Accounting Principles (United States)
GBS	Global Business Solutions -- Intuit's QuickBooks and Mailchimp segment, formerly Small Business and Self-Employed
GenOS	Generative AI Operating System -- Intuit's proprietary internal AI platform
HCM	Human capital management -- payroll, HR and workforce operations software
HMRC	His Majesty's Revenue and Customs (United Kingdom)
IES	Intuit Enterprise Suite -- the mid-market AI-native ERP product
IRS	Internal Revenue Service (United States federal tax authority)
LLM	Large language model
MCP	Model Context Protocol -- the open standard by which Intuit's capabilities are exposed inside third-party AI products
MeF	Modernized e-File -- the IRS electronic filing system and schema against which tax software must be certified annually
OCR	Optical character recognition
P/E	Price-to-earnings ratio
QBO	QuickBooks Online
RIF	Reduction in force -- the May 2026 17% workforce reduction

Acronym	Full name and meaning in this report
SaaS	Software as a service
SMB	Small and medium-sized business
SOTP	Sum of the parts (referenced as a valuation method not applied here)
TAM	Total addressable market
TTM	Trailing twelve months

C**DISCLAIMER**

This document is internal buy-side research prepared for the author's own portfolio and research-prioritisation purposes. It is not investment advice, not a recommendation to buy, sell or hold any security, and contains no price target. Nothing in it should be construed as legal, tax or accounting advice. Where the report discusses pending litigation it does so factually and expresses no view on the merits or the likely outcome. Financial data is as at the dates stated; market data moves daily and multiples quoted will be stale within hours. All figures should be independently verified against primary filings before any capital is committed -- Appendix A identifies specifically which items in this report are company-confirmed, which are analyst estimates, and which are flagged as unreconciled between sources. The author may hold or may subsequently acquire or dispose of positions in any security mentioned.